credentials luring unsuspecting low-income households to part with their hard-earned savings by promising enticing returns. No matter what the advertised business model, all these were, at their core, pyramid schemes programmed to implode sooner rather than later. ‘Why eastern India’ was an issue we used to discuss internally in the Reserve Bank although a clear answer eluded us. Was it that there was traditionally a culture of saving in eastern India among low-income households, thus providing an opportunity for exploitation by clever operators? Did such operators enjoy more political patronage than elsewhere? Was the lack of access to the formal financial sector more egregious than elsewhere? Was it the relative weakness of the cooperative structure?

As its name indicates, a pyramid scheme is structured like a pyramid. A straightforward version typically starts with one person—the initial recruiter—who is on top at the apex of the pyramid. This person then recruits a second who is required to ‘invest’ a certain amount that is paid off to the initial recruiter. In order to get his money back, this second recruit must now recruit two more people; from the ‘investment’ made by these latest recruits, he pays himself off first and the balance goes into a pot. The pyramid keeps building up, with money brought in by fresh recruits used to pay off the recruiters above them such that the entire stake, at any point of time, is borne by the bottom-most layer of the pyramid.

The problem is that it is impossible to sustain this cycle. These operations seldom involve any production of goods and services; no wealth is created and no revenue is generated. Very soon, the only way a pyramid can survive is by recruiting additional members. But that possibility hits a limit very soon—remember the power of compounding—when people at the bottom of the pyramid find themselves unable to recruit the next layer of investors to pay themselves off, and the scheme closes in on itself. This kind of chain, pyramid or Ponzi schemes, whatever name they are called by, are illegal in most countries of the world. But fraudsters manage to get away by creating an illusionary legality.

When the Saradha scam exploded spectacularly and made front-page news in national newspapers, the Reserve Bank was on the block to explain